

Polycab India Ltd

Concall Tracker · Q1 2027 (covers calls through Q1 FY27, held 16 Jul 2026) · Prepared 24 Jul 2026

Reading the last ~3 years of earnings calls to answer two questions: (1) is there a durable earning trigger, and (2) has management been consistent about it?

1. Snapshot

What the business does: Polycab is India's largest maker of **wires & cables** (W&C) — the copper and aluminium wiring used in buildings, factories, power grids and infrastructure. It also runs a consumer-products arm called **FMEG** (Fast-Moving Electrical Goods = fans, lights, switches, switchgear, conduit pipes and solar inverters) and an **EPC** arm that builds turnkey projects (e.g. rural broadband "BharatNet" and power-distribution "RDSS" contracts). Roughly 85-90% of sales come from wires & cables. It sells mostly through a dealer/distributor network (~90% of sales), which keeps its own money tied up low.

Metric	Value	Plain-English read
Market cap	₹1,34,172 cr	The whole company is valued at about ₹1.34 lakh crore.
FY26 revenue	₹28,185 cr	Total sales for the year to Mar-2026, up ~29% on FY25 — strong growth.
FY26 net profit	₹2,601 cr	Bottom-line profit, up ~31% — profit grew faster than sales.
Operating margin (FY26)	~14%	₹14 of operating profit per ₹100 of sales — healthy for this industry.
ROCE / ROE	32.9% / 22.7%	Return on capital is very high — the business earns a lot on money invested.
Net cash	~₹4,190 cr (₹39.9 bn)	More cash than debt (borrowings only ₹89 cr) — a debt-free balance sheet.
Stock P/E	47.8	Priced at ~48x earnings — the market expects strong growth to continue (not cheap).

2. Concall coverage

This is a first (baseline) report on Polycab — no prior quarter's report exists, so all calls below were read fresh. Thirteen quarterly calls were covered, spanning **Q1 FY24 (Jul 2023) through Q1 FY27 (Jul 2026)** — about three years.

Fiscal year	Calls read	Read in full?
FY24 (Q1–Q4)	Jul-23, Oct-23, Jan-24, May-24	Yes
FY25 (Q1–Q4)	Jul-24, Oct-24, Jan-25, May-25	Yes
FY26 (Q1–Q4)	Jul-25, Oct-25, Jan-26, May-26	Yes
FY27 (Q1)	16 Jul 2026 ★	Yes — latest call

★ Latest concall highlights — Q1 FY27 (call 16 Jul 2026)

- **Record start to the year.** Revenue ~₹8,034 cr, up **39% YoY**; operating profit (EBITDA) up 32% with margin 13.8% (+70 bps vs prior quarter); **highest-ever quarterly net profit of ~₹797 cr, up 33% YoY** (net margin 9.7%). In plain terms: the biggest quarterly profit the company has ever posted.
- **Wires & Cables +39%** (domestic +43%), but **volume growth was only low-to-mid single digit** — because last year's Q1 base was unusually high (~26% volume growth). Most of this quarter's revenue jump came from higher copper/aluminium prices passed into selling prices, not from more units sold. Wires grew faster than cables.
- **FMEG had a standout quarter: +71% YoY** — its 10th straight quarter of beating the industry — with EBIT margin at 8%, already inside the 8-10% target management set for FY30. Solar inverters remain the single biggest and fastest-growing FMEG category (>2x).
- **Exports fell YoY** on Middle-East geopolitical disruption (Strait of Hormuz / Iran tensions), though management says the order book (US, Europe, Latin America) is healthy and a recovery is coming. EPC revenue dipped 11% on project-milestone timing.
- **Tone: confident.** Management called it "another quarter of strong performance," took a 3-4% price cut in early July as commodity prices eased, and reaffirmed all its FY30 "Project Spring" targets.

2c. Business mix & capacity (latest)

Domestic vs exports: Overwhelmingly domestic — exports were ~4-5% of revenue in FY26 (5.4%) and dipped further in Q1 FY27 on the Middle-East shock, so roughly **95% of sales are within India**. Within exports, North America was ~45-50% and the Middle East ~20-24% of the Q1 mix. *Plain read: this is almost entirely an India-demand story today; exports are still a small side-bet.*

Capacity utilization: Wires & cables plants have been running in the **mid-70s% (75-76%)** through FY26, with peak reachable around 80-85%. *Plain read: there is still ~10-15% headroom to lift output before new capacity is strictly needed — and a ₹60-80 bn five-year capex plan is adding more. The EHV (extra-high-voltage) cable plant is due to commission end-2026 with revenue from FY28.*

★ 3. Earning-trigger thesis

The durable trigger is **Polycab's dominance of India's wires & cables market riding a multi-year power, transmission (T&D) and infrastructure capex super-cycle** — amplified by steady **market-share gains** (organized W&C share has climbed from 18-19% in FY19 to **30-31% in FY26**). Layered on top are two second-line engines: a **now-profitable, fast-scaling FMEG business** (led by solar inverters) and an **emerging export lever**. Management frames all of this under "Project Spring" — its FY30 roadmap of growing 1.5-2x the industry, holding W&C margins at 11-13%, lifting FMEG to 8-10% EBITDA, taking exports above 10% of revenue, and spending ₹60-80 bn of capex.

Trigger	What management said	Evidence so far	Horizon	Strength
W&C + T&D / infra capex	India's power & transmission build-out (transmission ~15k→21-22k circuit-km/yr; ~₹36-37 lakh cr total capex FY27) drives cable demand; grow 1.5x the market.	Delivered — FY26 W&C volume +18%, revenue crossed ₹28,000 cr; consistently grew well above industry.	Multi-year (to FY30)	Strong concrete, live, and clearly playing out.
Market-share gains	Organized W&C share to keep rising; called "structural, not cyclical."	Delivered — 18-19% (FY19) → 26-27% (FY25) → 30-31% (FY26) .	Ongoing	Strong a genuine, measurable moat gain.
FMEG profitability + solar	FMEG to reach 8-10% EBITDA by FY30, grow 1.5-2x market; solar a big leg.	Turned profitable Q4 FY25; 10 straight quarters beating industry; Q1 FY27 EBIT already 8% — ahead of plan.	FY27-FY30	Moderate→Strong turnaround proven, margin now inside target early.
EPC order book (BharatNet + RDSS)	~₹110 bn combined order book to execute over ~3 years at high-single-digit margins.	Executing, but revenue is lumpy — down 11-19% in several recent quarters on milestone timing.	Near-term	Moderate real backlog but choppy and lower-margin.
Exports > 10% of revenue	Target reiterated since FY24 (originally "by FY26", now "by FY30, hopefully sooner"); US distribution network rebuilt.	Stuck at ~5-6% of revenue for three years; US B2B→B2C transition dragged, Middle East now hit.	FY30	Weak / Unproven repeatedly promised, repeatedly delayed.
EHV cable plant	New extra-high-voltage plant, ~50% of India's EHV demand currently imported = ready market.	Under construction; commissioning end-2026, revenue only from FY28.	FY28+	Unproven promising but not yet contributing.

4. Management consistency scorecard

The promised-vs-delivered record across the three years:

Period / theme	What was promised	What actually happened	Verdict
FY24-FY25 "Project Leap"	₹20,000 cr revenue by FY26.	Hit ~₹21,000 cr in CY2024 — a full year early ; then reset to the FY30 "Project Spring" plan.	Delivered (early)
Across all calls W&C margins	EBITDA margin 11-13% (later 12-14% near-term).	Consistently ran above the band (14-16%); management repeatedly called its own guidance conservative.	Delivered / beat
FY24 onward Market share	Keep gaining organized W&C share.	Rose from 22-24% to 30-31% — delivered every year.	Delivered
FY24-FY25 FMEG turnaround	Early promise: "10% EBITDA by FY26."	Missed that: FMEG de-grew 15% in Q3 FY24 , execution "fell short," and the 10%-by-FY26 target was quietly dropped and reset to 8-10% by FY30. But the business then turned profitable (Q4 FY25) and has beaten industry for 10 straight quarters.	Partly (missed then recovered)
FY24 onward Exports	International to reach 10% of revenue (first "by FY26").	Still only ~5-6%; target pushed out to FY30. The clearest broken/slipped promise.	Missed / slipping
		On track — FY26 capex ~₹14.5-14.8 bn (first year above ₹14.5 bn).	On track

FY26	₹12-16 bn/yr, ₹60-80 bn	
Capex ramp	over 5 years.	

Narrative drift: The core story has been remarkably **steady and honestly told** — Polycab tends to *under-promise and over-deliver* on wires & cables (beating both its growth and margin guidance year after year), and it delivered its Project Leap target ahead of time. Two genuine blemishes stand out: (1) the **FMEG mis-step in FY24** — a target set, missed, and reset — though management owned it plainly and the business subsequently recovered; and (2) the **chronic export miss**, where the 10% goal keeps sliding. Worth flagging (not thesis-breaking): an **Income-Tax search in Dec 2023** that produced no order, a **CFO change** in Oct 2025 (Tongia → Maru, interim), and the Jaisinghani brothers becoming **Joint MDs**. Emphasis has sensibly rotated over time — from Project Leap, to the FMEG turnaround, to today's twin forward bets on T&D/transmission and the US export ramp.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: Polycab is the market leader in wires & cables just as India ramps a multi-year power, transmission and infrastructure capex cycle — and it is **taking share while it grows** (18-19% → 30-31% organized share in seven years). The evidence is in the delivered numbers, not just the rhetoric: FY26 revenue +29%, profit +32%, ROCE ~33%, net cash. FMEG turning profitable and hitting its margin target early adds a real second engine. Exports and EHV are optionality on top. This is a genuine, compounding trigger.

Management consistent? → YES

On the parts that matter most — core W&C growth, margins, market share and the Project Leap target — management has been consistent and has **over-delivered against its own conservative guidance**, repeating the same Project Spring FY30 framework almost verbatim call after call. The verdict is not flawless: the FMEG target was set, missed and reset in FY24, and the 10% export goal has slipped for years. But both were disclosed candidly rather than buried, and the FMEG business ultimately recovered. On balance the promised-vs-delivered record is strong — hence YES, with those two watch-items noted.

Watch items going forward: (1) whether export contribution finally climbs toward 10% now that the US network is rebuilt and the Middle East recovers; (2) FMEG holding its 8-10% margin as A&P spend rises; (3) EHV plant delivering revenue from FY28; (4) how new entrants (Adani, Aditya Birla) affect wire pricing/share over the next 1-2 years; and (5) whether volume growth (not just price-led revenue) re-accelerates after a soft Q1 FY27.

Sources: Polycab India quarterly earnings-call transcripts (Screener.in), Q1 FY24 through Q1 FY27, and Screener financial snapshot tables. Figures are as management stated them on the calls or as reported in the snapshot; small differences between management's consolidated figures and snapshot values may exist. **This is not investment advice. Do your own due diligence.**